

A plaintiff's counsel is required to notify the defendant's counsel, if known, prior to taking the defendant's default. *Fasuyi v. Permatex, Inc.* (2008) 167 Cal.App.4th 681, 701–702 (reversing order denying relief from default); *Lasalle v. Vogel* (2019) 36 Cal.App.5th 127, 137 (reversing order denying relief from default); *Shapell Social Rental Properties, LLC v. Chico's FAS, Inc.* (2022) 84 Cal.App.5th 166, 213–214 (reversing order denying relief from default).

Code Civ. Proc. § 473(b)

Code Civ. Proc. § 473(b) permits a court to grant relief from a judgment, dismissal, order or other proceeding taken against a party on the grounds of “mistake, inadvertence, surprise or excusable neglect.” Generally, there are two avenues to such relief under Code Civ. Proc. § 473(b). *Leader v. Health Industries of Am., Inc.*, 89 Cal.App.4th 603, 615 (2001). First, a court may grant discretionary relief upon the moving party's showing of mistake, inadvertence, surprise or excusable neglect. *Id.* at 615-616. Second, where the defaulting party's attorney files an attorney affidavit of fault the relief is mandatory. *Id.*

A motion seeking discretionary relief under Section 473(b) **must be brought within 6 months** of entry of default and/or default judgment sought be vacated. Cal. Civ. Proc. Code § 473(b).

Where there is an attorney affidavit of fault, however, relief is mandatory and the deadline to file a motion for relief as to either a default or default judgment does not even begin to run until a default judgment is entered. Code Civ. Proc. §473(b); *Sugasawara v. Newland* (1994) 27 Cal.App.4th 294, 296–297.

No default judgment has been entered against Defendant in this case. See Cal. Prac. Guide Civ. Pro. Before Trial § 5:305.2 (“If no default judgment has been entered, there appears to be no time limit on a motion for relief based on an attorney affidavit of fault.”)

Court’s Equitable Power

Apart from any statutory authority, a court has inherent, equitable power to set aside a judgment on the ground of “extrinsic fraud or mistake.”

Olivera v. Grace (1942) 19 Cal. 2d 570, 576. There are three essential requirements to obtain relief.

The party in default must show:

- a meritorious defense;
- a satisfactory excuse for not presenting a defense to the original action; and
- diligence in seeking to set aside the default once it was discovered. Rappleyea v. Campbell (1994) 8 Cal. 4th 975, 982.

A motion to vacate a default or dismissal that is made more than six months after entry of default can be made on the ground that a court has the inherent equitable power to grant such relief where there has been extrinsic fraud or mistake. Orange Empire Nat. Bank v. Kirk, 259 Cal.App.3d 347, 352-53 (1968); Kramer v. Traditional Escrow, Inc. (2020) 56 Cal.App.5th 13, 30; Estate of Sanders (1985) 40 Cal.3d 607, 614, citing United States v. Throckmorton (1878) 98 U.S. 61, 65–66.

Discussion

Here, Defendant did not file its motion for relief within 6 months of the 3/11/25 entry of default. As a result, Defendant cannot obtain discretionary relief under Code of Civil Procedure section 473(b). But relief is available both as mandatory relief under section 473(b) and under the court’s inherent, equitable powers.

First, the court deems the Sorrentino Declaration as counsel's affidavit of fault. Sorrentino's explanation that they were operating under an "informal" stay due to settlement negotiations is an explanation as to why he failed to file a timely response to the SAC. [Sorrentino Decl., ¶¶ 7-9.] With attorney fault, the neglect or mistake need not be excusable. *Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 770 (bold added). As long as the default resulted from attorney neglect, the attorney's "affidavit of fault" compels relief from both the default and any resulting default judgment. See *Cisneros v. Vuevo* (1995) 37 Cal.App.4th 906, 909 fn. 2.

Upon a finding of an attorney affidavit of fault, relief is mandatory. Defendant has submitted a proposed answer. [Sorrentino Decl., Ex. R.] The provision for mandatory relief also requires the court to award reasonable fees and costs to the opposing party. Plaintiffs' counsel has filed a declaration describing the fees incurred. The court has reviewed this and made its award as noted above.

Second, the court exercises its equitable powers based on Defendant's and his counsel's extrinsic mistake in relying on an informal stay and representations of settlement negotiations in not filing an answer to the SAC. [Sorrentino Decl., ¶¶ 7-9; Andry Decl. (ROA #1062), ¶¶ 7-8.] Similarly, Plaintiff has shown a meritorious defense not previously presented due to reliance on the settlement negotiations – which also explain why the motion was not brought earlier. [Id., and Sorrentino Decl., Ex. R.]

Accordingly, the motion for relief from the entry of default is granted.